MU - Micron Technology

Full investment research | Model assumptions and source evidence

Owner valuation update - 15 October 2026

Tom authorizes a gradual re-rating: **6x in Q3 and Q4 2026, 7x in Q1 2027, 8x in Q2 2027 and 9x from Q3 2027 onward**. The multiple is selected by the ceiling quarter and applied to that quarter plus the next three operating quarters. The owner also extends the 6x starting multiple to Q3 2026. This supersedes the earlier Q3 exclusion; Q4 2026 and every later valuation quarter retain the previously approved schedule. This changes valuation only; all product revenue, costs, operating profit, probability/overlap treatment, attribution, shares, FX and Base scores remain unchanged.

Active Q4 2027 ceiling: USD 2,281.94; unchanged by the Q3 extension. The active quarter applies 9x forward-four-quarter operating profit.

Ceiling quarter	Owner multiple	Current ceiling
Q3 2026	6x	USD 1,133.11
Q4 2026	6x	USD 1,248.12
Q1 2027	7x	USD 1,577.56
Q2 2027	8x	USD 1,900.58
Q3 2027	9x	USD 2,220.66
Q4 2027	9x	USD 2,281.94

This owner instruction supersedes the older constant-multiple convention wherever described in the retained research. Source dates and operating evidence remain at their original dates.

Framework 8.0 | Earnings anchor September 30, 2026 | Architecture evidence reviewed October 6, 2026 | Manufacturing and labor evidence reviewed October 8, 2026

HELD - supply bottleneck. Analytical Base: 54/60 = 90/100. Portfolio Excel Base: 90/100. Active Q4 2027 ceiling: USD 2,281.94 per share.

Valuation applies the owner-approved **6x/7x/8x/9x gradual re-rating to rolling forward-four-quarter non-GAAP operating profit**, in USD billions converted to USD per diluted share. No net-income, EPS, multiple or horizon substitution. Quarterly labels retain the established fiscal proxies: Q3 2026 is Micron FQ4 FY2026; Q4 2026 is FQ1 FY2027. The active Q4 2027 ceiling prices FQ1 FY2028 through FQ4 FY2028. This selects the existing Q4 row; it is not an economic forecast change. Analytical scores and ceilings are separate outputs; the score is not another profit multiplier.

October 8 review: factory engineering, qualified output and labor continuity

The Damnang expert-call report, published October 7 at 8:31 p.m. Toronto time, adds a manufacturing perspective to the existing memory thesis. The interview took place September 30 Pacific time / October 1 Taiwan time with an unnamed process-integration engineer based in Micron's Taichung operations, previously a defect engineer at Samsung Foundry. It is an edited, roughly 59-minute interview reflecting that person's experience, not Micron guidance. The author separately identifies his interpretations and the October 7 public labor reporting. The engineering observations inform how qualified output is produced; they do not supply a measured Micron yield, a new wafer-capacity number or a change in the saved earnings forecast. [MU-DAM1]

HBM has a manufacturing constraint before stacking

The expert's use of "backend" means the copper-interconnect portion of wafer fabrication, not the later assembly of multiple DRAM dies. He describes the difficulty of finding process conditions that work for both DRAM-array regions and copper structures associated with TSVs. The point is material and process compatibility. He explicitly corrects the interviewer's proposed interpretation that the problem is primarily electrical crosstalk. It would be equally incorrect to turn this passage into a measured stacking-yield failure or a conclusion that Micron's HBM4 is unqualified.

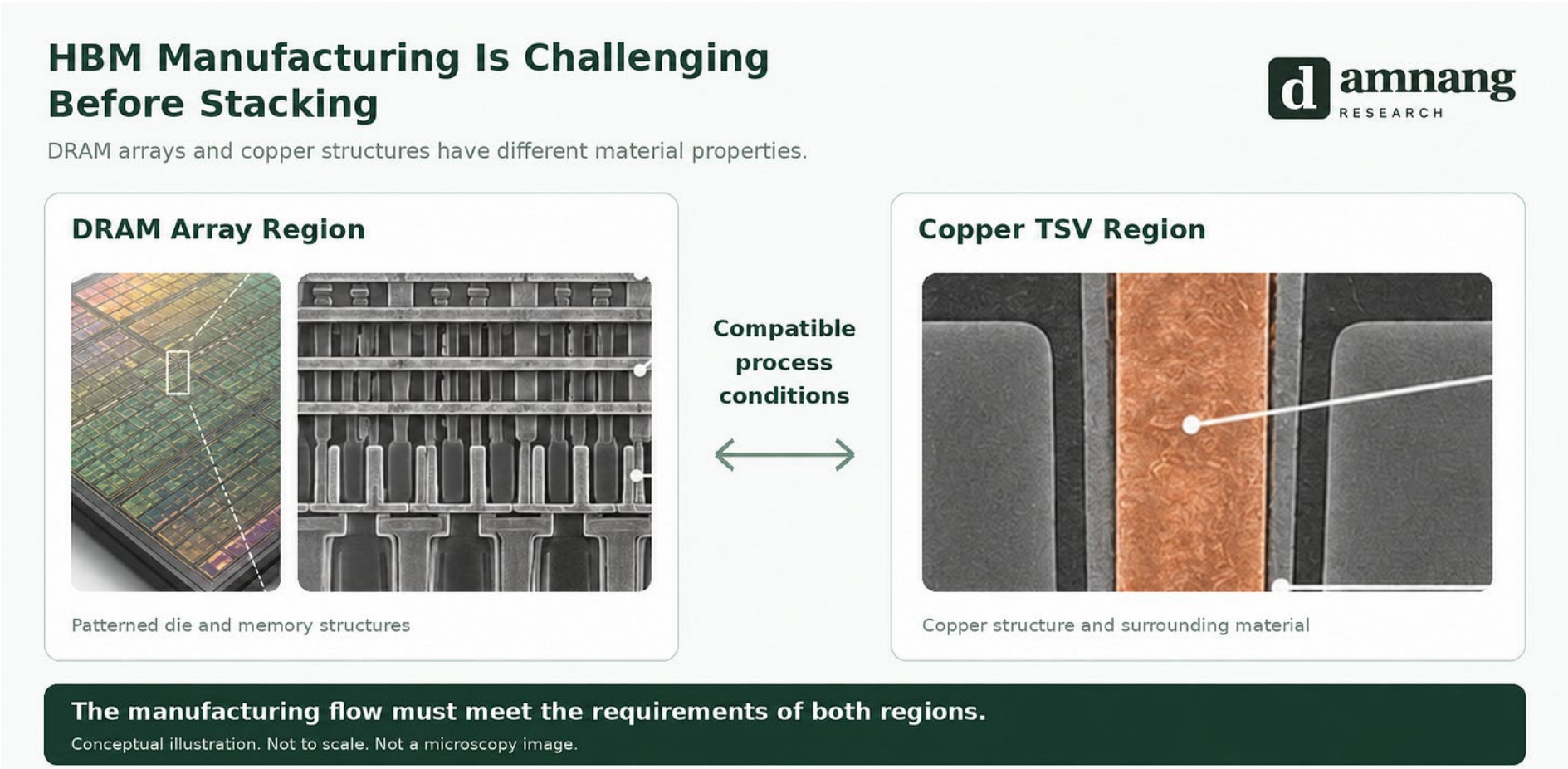


Figure MU-DAM1. Damnang's October 7, 2026 conceptual comparison of DRAM-array and copper-TSV regions. The source explicitly labels it not to scale and not a microscopy image. It illustrates process-condition compatibility; it is not a Micron micrograph or numerical yield measurement.

The relevant operating unit remains good, qualified bits or stacks available for shipment. More wafer starts do not translate one-for-one into saleable HBM when added process steps, metrology, defect screening and package qualification consume time or reduce output. Conversely, an improvement in yield can increase saleable output and lower cost per good die simultaneously; those two effects must be calculated from one manufacturing bridge rather than counted as independent demand shocks. This supports the current HBM wafer-trade and cost analysis, including the lower observed CMBU margin. It does not establish a new deterioration against Micron's September 30 actuals or guidance.

The engineer describes older products moving from Taiwan to other sites, with the released capacity used for newer DRAM. This is product and process reallocation, not necessarily a reduction in Taiwan's total productive capability. Any incremental benefit would require the transferred wafer cohort, receiving-site cost, displaced

legacy sales, qualification timing and good-bit yield. The current business-unit growth and issuer node/capacity roadmap already contain the broad mix migration. No extra factory-output increment is added from the anecdote.

Inspection has an economic optimum

The interview gives a useful reason why more precise inspection is not automatically more productive. A wafer waiting for a slow high-resolution measurement is not advancing through the fab. The expert describes correlating faster inspection data with final defect outcomes, balancing avoided losses against inspection time and resources. HBM raises the value at risk when a bad die reaches an expensive finished stack, which can justify more process-control work without proving that every process should use the slowest, most sensitive tool.

For Micron, the bridge is the avoided value of bad dies or stacks plus recovered production time, less additional tools, inspection cycle time, applications engineering and recurring operating costs. For a supplier, it is accepted tool shipments and service content at qualified process steps, less hardware, installation, customer support and R&D. The article names no inspection supplier and establishes no new Micron purchase order. The existing Micron capex, gross-margin and capacity-execution assumptions remain controlling. Supplier discovery is separate from adding revenue or profit to Micron.

The engineer’s Samsung comparison is primarily **Samsung Foundry versus his Micron Taiwan experience**, not Samsung memory versus Micron memory. In his description, a model-first approach can economize experimental wafers but lose time if the hypothesis is wrong; running more experimental splits can reach a working condition faster while consuming more resources. Documentation, knowledge transfer and local-language coordination also affect execution. These trade-offs do not establish a company-wide yield ranking or a quantified cost disadvantage. They belong in the current capacity-execution risk assessment without a second automatic score deduction.

Labor evidence adds context to the same event

The firsthand account of open frustration in a large employee meeting, especially among younger staff, adds context to the already-reviewed dispute. Statements about other sites, management reaction and union participation are partly hearsay. The interview predates the Taoyuan strike authorization and does not identify a new stoppage or production loss. The October 7 public-reporting section describes the same event already retained in the labor ledger below; repeated coverage is not an independent second disruption.

The article expressly cautions that “close to 90 percent” union participation and the employee-made comparison of 10% versus 1-2% profit distribution do not have verified common denominators. They cannot be applied to all Taiwan employees or used as official company compensation ratios. Taichung and Taoyuan have distinct operations and union processes. The reported 15% operating-profit sharing demand remains a bargaining position. An incremental settlement bridge must identify eligible staff and profit pool, cash versus equity, recurrence, and whether expense first enters inventory, cost of goods sold or operating expense. It must also deduct compensation already included in the saved $9.341B fiscal 2027 opex and existing cost-of-sales guidance.

Direct CNA access was successful on October 8 for the authorization, Micron response and TrendForce assessment. This resolves the earlier access limitation, while preserving the distinction between original reporting, the union’s demand, the company’s dialogue response and an analyst’s conditional yield-risk assessment. The source’s post-vote follow-up is not new evidence of a strike date. [MU-LAB1-3, MU-DAM2]

Supplemental probability and overlap ledger

These probabilities describe specific outcomes, not measured manufacturing statistics. The manufacturing rows explain mechanisms already present in the operating forecast. The labor row is the existing single event branch, retained at 35%; it is not applied again on top of the October 7 review. Every row contributes **$0 incremental revenue, gross profit and operating expense** from this source revision, for the specific overlap and scope reasons below. No probability is applied again to the final ceiling.

Source claim / outcome	Probability and bounded conditional outcome	Company bridge, overlap and current disposition
Advanced Taiwan mix migration through 2027	75% subjective weight to continued reallocation toward advanced DRAM/HBM; only the transferred and requalified cohort can contribute.	Good bits from the cohort × realized ASP, less legacy sales displaced, receiving-site process costs and startup. The broad transition is 100% overlapping with current BU growth and the issuer roadmap. No new wafer count or date is supplied; incremental OP $0.
More demanding HBM process control through 2026-2028	80% subjective weight to greater process-control intensity than conventional DRAM, consistent with existing engineering/issuer evidence. No numerical Micron yield is inferred.	Added process/inspection cost and yield-dependent cost per good unit belong inside the existing HBM margin and wafer-trade bridge. No deterioration from the current reference is reported; incremental OP $0.
Economically justified inspection/metrology intensity through 2027-2028	65% subjective weight to higher inspection value per qualified high-value cohort; spending still depends on throughput and defect correlation.	Avoided scrap/recovered time less equipment, delayed processing and support costs. Existing capex/GM already contain process control; no specific new Micron order or cost change is given. Incremental OP $0; supplier screening remains separate.
Localized industrial action by end 2026	Existing 35% retained. One-to-seven lost-production-day stress remains a conditional physical bound, not a duration forecast.	Same event as October 7: affected good output × lost days × unrecovered proportion × realized ASP, less avoidable costs plus recovery/yield/fixed-cost burden, after inventory and catch-up. This article supplies no revised cohort, schedule or persistence; 100% overlapping event, no additional quantified effect.
Employee comparison ratios and profit-sharing demand	No new settlement probability is inferred from an unscoped comparison table. The labor-event probability is distinct from the probability of any settlement terms.	No 90% workforce coverage or 15%-of-global-OP charge. Eligible payroll/profit pool, expense basis and overlap with the current compensation budget remain unresolved. A demand is not a new agreed cost.
Samsung Foundry / Micron organizational anecdotes	No directionally robust incremental earnings outcome follows from the comparison alone.	Faster experiments may use more wafers; documentation can alter transfer cost. No measured company-wide speed, yield or cost differential is supplied. Existing execution risk remains; no separate Base deduction or earnings haircut.
October 7 authorization/public follow-up	Same 35% event branch; not another independent probability.	Vote counts, eligible-member denominator, site scope and absence of a strike schedule were already reviewed. Direct source access improves provenance, not the number of disruptions. Incremental OP $0.

The attempted labor proxy remains explicit: lost days divided by the quarter, multiplied by affected qualified production, participation and unrecovered output. An all-company 0-100% exposure envelope cannot be narrowed from this interview, and an employee-count ratio is not a valid substitute for bottleneck output. Combining both Taiwan sites would also confuse separate union processes. The end-2026 stress falls before the active Q4 2027 valuation window; recurring settlement costs or persistent unrecovered losses could still enter fiscal 2028 if evidence supports them. This is a nonzero risk with an overlapping, presently unidentified incremental exposure, not an official-confirmation gate.

Next tests are the October 8-9 board response, the October 19 planned leave-day rally, the separate October 22 Taichung mediation, any scheduled action, participating process lines, good output/yield, inventory/catch-up, and incremental compensation relative to the existing budget. Revisit the event weight or financial bridge when those facts change. No scarcity-price windfall is separately credited to Micron, Samsung or SK hynix without a net lost-industry-output, substitution and contract-pricing bridge.

Current conclusion: analytical Base **90**, portfolio Excel Base **90**, the owner-approved **quarter-specific forward-four-quarter non-GAAP operating-profit** method, share schedule and **$2,281.94 Q4 2027 ceiling** remain controlling. Manufacturing explanations and source provenance improve, while the same current operating forecast remains the financial reference.

October 7 review: Taiwan labor authorization and operating exposure

Micron's Taoyuan union secured strike and picketing authorization after its October 1-6 vote. The reported count was **1,994 in favor, 14 against and four invalid out of 2,012 ballots**, with **2,258 eligible members**. Turnout was 89.1%; support among ballots cast was 99.1%. This establishes an authorization, not a production stoppage or an announced strike date. CNA's October 7 reporting distinguishes the proposed October 19 day-off rally from a strike; Taichung's October 22 mediation is a separate union process. Micron's reported response favors dialogue and mediation. [MU-LAB1,2]

The union's reported demand for a profit-sharing system tied to 15% of operating profit is a bargaining position, not an agreed company-wide expense. The current model already includes fiscal 2027 operating expense of **$9.341B**, including the approximately **$2.5B** annual increase and compensation carry in the issuer guidance. Charging an additional 15% of group OP would both assume an undisclosed settlement scope and risk counting compensation twice.

Bounded risk with an unresolved exposure bridge

The selected subjective probability is **35% for localized industrial action by the end of 2026**. A **one-to-seven lost-production-day range** is a stress bound, not a predicted strike duration. The relevant economic bridge is affected daily good-bit output × lost days × unrecovered production, less usable inventory or catch-up, priced at the applicable product ASP; OP must also include fixed-cost absorption, yield loss, recovery costs and any incremental agreed compensation net of costs already budgeted.

TrendForce's comments reported by CNA identify Taoyuan DRAM operations and potential maintenance, process-control and yield consequences if action occurs. They do not identify the affected product mix, good-bit volume, staff coverage, buffer inventory or catch-up capacity needed to turn that mechanism into a defensible group revenue/OP range. A plant's nameplate capacity is not saleable output, and an authorization cannot be multiplied by all Micron revenue. [MU-LAB3]

Accordingly, the new labor evidence contributes **zero quantified revenue, gross-profit or opex change** today. This is not a zero probability for disruption or an official-confirmation requirement: a nonzero probability and bounded physical stress have been selected, but the company exposure and settlement bridge remain unidentified. The current Q4 2027 valuation window also prices fiscal 2028 earnings, later than the selected end-2026 action risk; an earnings effect requires evidence of persistence, unrecovered output or recurring settlement costs into that period. Earlier quarters remain reviewable as soon as the affected cohort and costs can be bounded.

There is no additional industry scarcity-price benefit credited to Micron or peers from this event. Such a benefit would need its own net supply, substitution and contract-price bridge and would overlap the shortage already modeled. Preserve the owner-approved **quarter-specific F4Q non-GAAP OP** method, **$2,281.94 Q4 2027 ceiling**, analytical Base **90** and current Excel Base **90**.

The next review should resolve whether a stoppage is scheduled, which operations participate, actual production/yield and inventory effects, the October 19 rally and separate October 22 mediation, and any negotiated incremental compensation relative to the existing $9.341B budget. Reposts of the same authorization do not increase its probability independently.

1. Business, positioning and investment thesis

Micron designs and manufactures DRAM, NAND and related memory/storage solutions. Its production assets, advanced nodes, packaging, controller and firmware capabilities, customer qualifications and product engineering place it among the few scaled suppliers able to serve AI infrastructure. CMBU captures cloud memory including HBM; CDBU serves broader data-center memory and storage; MCBU serves mobile/client; AEBU serves automotive/embedded. These reporting units already contain their associated NAND sales. Enterprise SSD, HBM and total business-unit revenue must not be added together as independent wallets.

The central thesis is a demand/supply gap with better contractual visibility, supported by expanding AI working memory, context storage and higher-performance products. Management expects tighter conditions in both fiscal and calendar 2027-2028 than 2026. It has no visibility into when supply catches demand. This is an outlook rather than an end to memory cyclicality. The model recognizes that stronger outlook through calibrated revenue, a partial deferral of margin normalization, and explicit pricing-risk deductions.

The S-curve is in volume deployment, with exceptionally high current profitability. HBM consumes more manufacturing resources than conventional DRAM; node transitions offer progressively less incremental productivity; cleanrooms take years and then several quarters to ramp. CMBU's 83% reported gross margin trails CDBU/MCBU at 90%, because faster HBM growth can dilute the blend. Higher agreed HBM prices for 2027 can narrow that gap without making all HBM sales higher-margin than conventional DRAM.

Micron's 1-gamma DRAM and G9 NAND are its largest production nodes. Their successors are expected to enter volume production in H2 calendar 2027. Singapore HBM packaging initial output is expected early 2027; Tongluo meaningful product shipments and Idaho ID1 first wafer output around mid 2027. ID2 and Japan initial output are expected late 2028, Singapore NAND in H2 2028, and first New York output in 2030. These are separate milestones, not instant saleable output at nameplate capacity. Forward business-unit growth is an explicit low-confidence proxy, not an independently demonstrated fab-by-fab production forecast.

Memory architecture and cycle risk

Micron's opportunity is qualified memory delivered across several tiers. HBM uses DRAM wafers plus base dies, TSV processing, stacking, packaging and test. LPDDR is also DRAM, but it has different interfaces and manufacturing economics. Replacing an HBM stack with a larger conventional-memory pool can shift Micron's product mix in both directions; memory demand and HBM demand must be modeled separately.

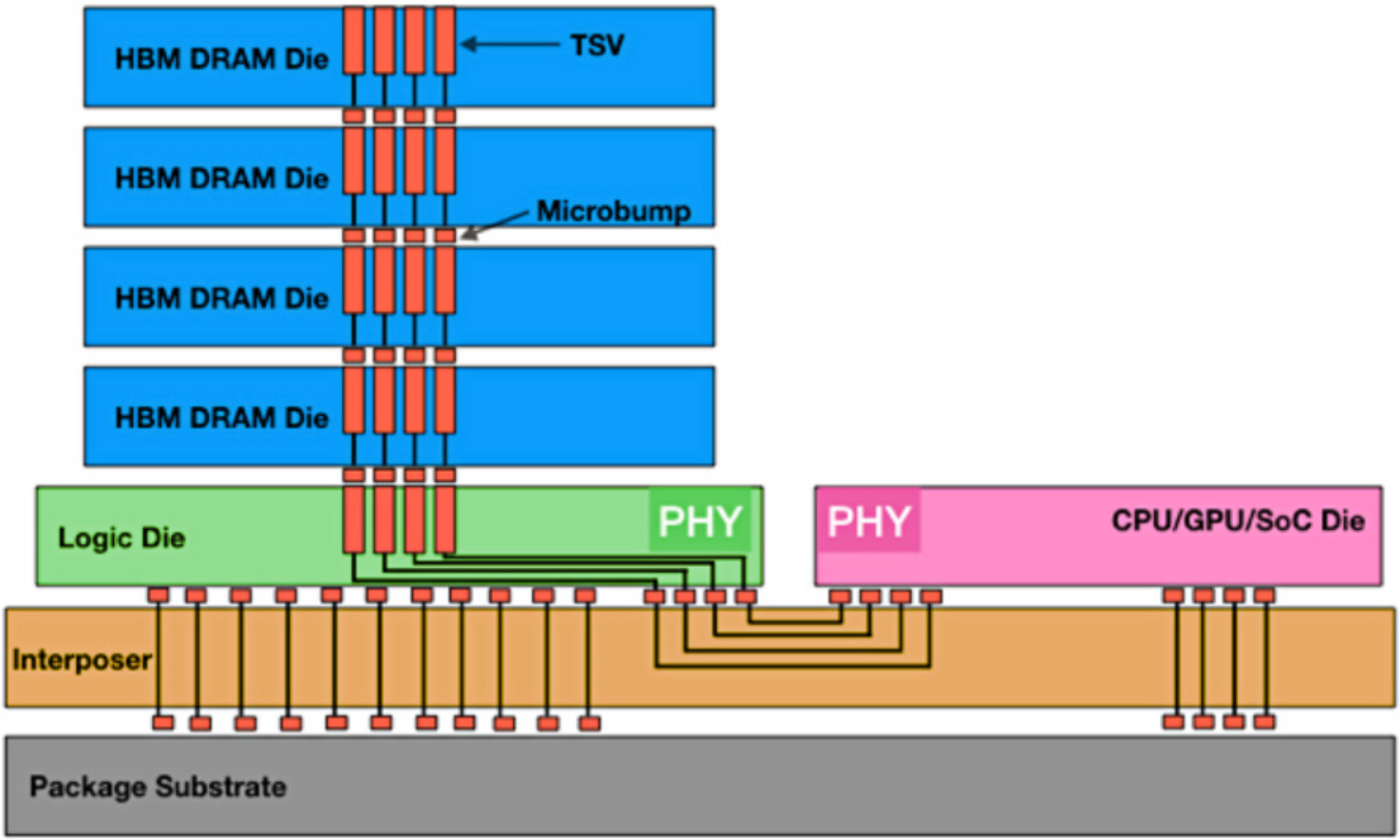
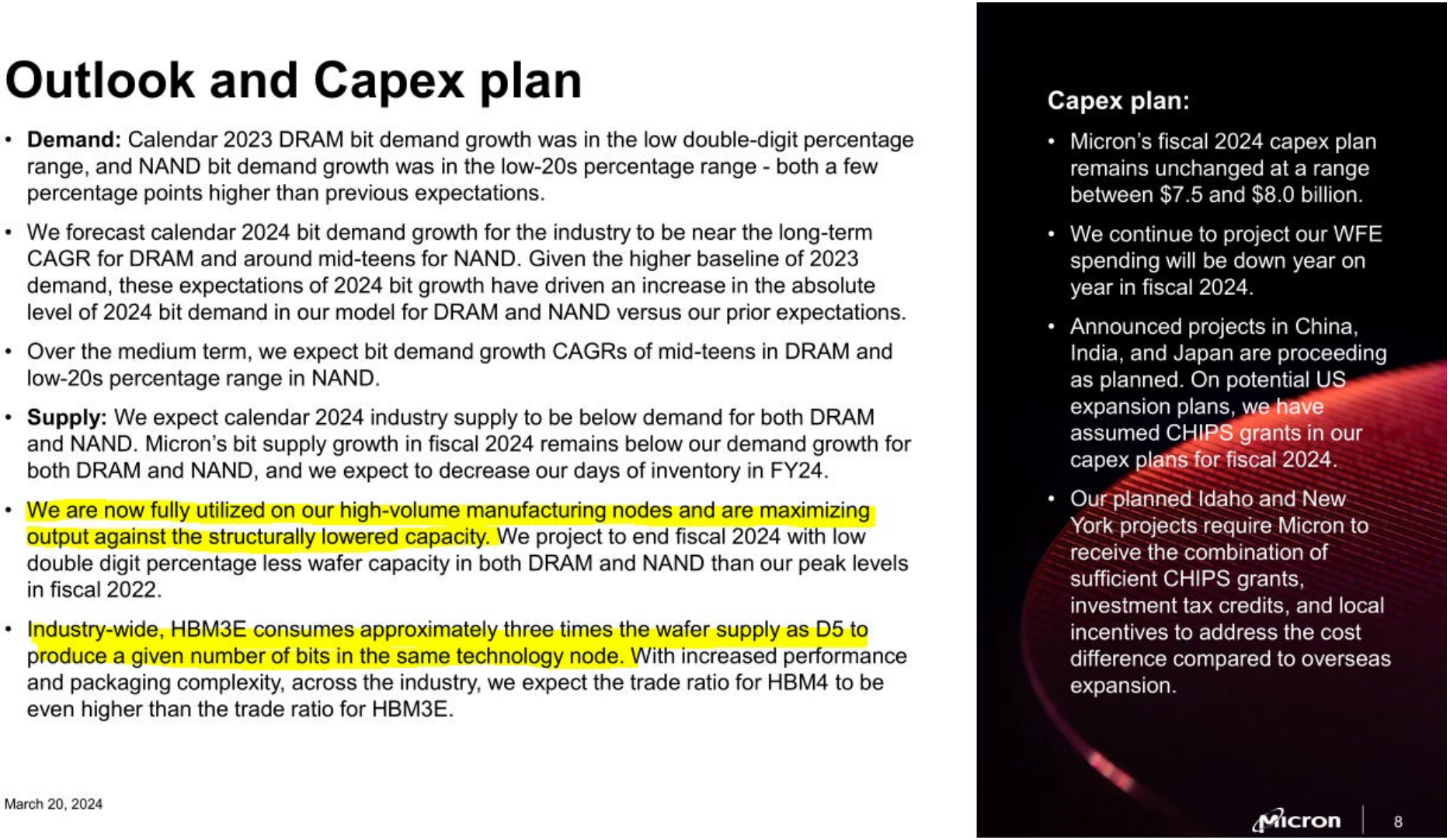


Figure IA24-M1. HBM stack/base-die/interposer diagram from the owner-supplied May 31, 2026 article, body image 5. Architectural illustration; no measured Micron yield or cost is inferred.

The article's blanket HBM4 failure claim is inconsistent with Micron's March 16, 2026 disclosure of first-quarter volume shipments and greater-than-11 Gbps operation. Those performance figures rely on issuer testing and customer validation; they do not reveal every customer's qualified yield or margin. The generic TDR plots in the article demonstrate possible discontinuities, not Micron stack measurements. Current qualification and price/cost execution risks remain in the existing operating assumptions.

Wafer trade is not a revenue multiplier

The supplied March 2024 Micron excerpt states that HBM3E consumes roughly three times the same-node wafer supply of DDR5 for the same bits. That constrains effective supply when HBM mix rises. Reversing it affects only the wafer cohort actually requalified for another product; it does not instantly triple all DRAM supply or sales.



Outlook and Capex plan

- **Demand:** Calendar 2023 DRAM bit demand growth was in the low double-digit percentage range, and NAND bit demand growth was in the low-20s percentage range - both a few percentage points higher than previous expectations.
- We forecast calendar 2024 bit demand growth for the industry to be near the long-term CAGR for DRAM and around mid-teens for NAND. Given the higher baseline of 2023 demand, these expectations of 2024 bit growth have driven an increase in the absolute level of 2024 bit demand in our model for DRAM and NAND versus our prior expectations.
- Over the medium term, we expect bit demand growth CAGRs of mid-teens in DRAM and low-20s percentage range in NAND.
- **Supply:** We expect calendar 2024 industry supply to be below demand for both DRAM and NAND. Micron's bit supply growth in fiscal 2024 remains below our demand growth for both DRAM and NAND, and we expect to decrease our days of inventory in FY24.
- We are now fully utilized on our high-volume manufacturing nodes and are maximizing output against the structurally lowered capacity. We project to end fiscal 2024 with low double digit percentage less wafer capacity in both DRAM and NAND than our peak levels in fiscal 2022.
- Industry-wide, HBM3E consumes approximately three times the wafer supply as D5 to produce a given number of bits in the same technology node. With increased performance and packaging complexity, across the industry, we expect the trade ratio for HBM4 to be even higher than the trade ratio for HBM3E.

March 20, 2024

Capex plan:

- Micron's fiscal 2024 capex plan remains unchanged at a range between $7.5 and $8.0 billion.
- We continue to project our WFE spending will be down year on year in fiscal 2024.
- Announced projects in China, India, and Japan are proceeding as planned. On potential US expansion plans, we have assumed CHIPS grants in our capex plans for fiscal 2024.
- Our planned Idaho and New York projects require Micron to receive the combination of sufficient CHIPS grants, investment tax credits, and local incentives to address the cost difference compared to overseas expansion.

Micron | 8

Figure IA24-M2. Micron March 20, 2024 earnings excerpt reproduced in IA24, body image 99. The roughly 3:1 comparison concerns equal bits of HBM3E versus same-node DDR5, not whole-industry revenue.

The author's 3× volume / 60% versus 80% gross-margin example is **2.25× gross profit only at unchanged ASP**, before operating expenses. More generally, GP ratio = 3 × ASP ratio × 60% / 80%. At half the ASP, it is 1.125× GP; gross-profit break-even requires retaining 44.44% of the original ASP. The assumed replacement volume, price, qualified yield and operating costs must all be explicit. None of these arithmetic examples enters the active model.

The older 2017-2024 transcript sequence shows that inventory and price turns can outrun management's earlier demand expectations. It supplies no calibrated date for the next turn. The September 2026 guidance and current cost bridge remain the near-term anchor. The existing 60% HBM-margin convergence and 60% normalization-deferral branches already capture the stronger shortage case; the 25% DRAM budget/pricing branch captures a specified 10% shortfall in non-NAND post-guide CMBU+CDBU growth. The old cycle narrative adds no second discount to those same dollars. Analytical Base 90 and current Excel Base 90 remain unchanged.

Optical memory: promising link physics, incomplete system economics

The May 31, 2026 Irrational Analysis article argues that clock-forwarded optics could eventually connect accelerators to reusable LPDDR pools. HBM is a DRAM product architecture; losing HBM attachment does not imply that its supplier loses every displaced memory bit. Conversely, selling more conventional bits does not guarantee the same revenue or margin. Custom HBM, local HBM caches, LPDDR/SOCAMM and pooled memory can coexist across workloads.

NVIDIA's ISSCC 2026 research supports the link mechanism, not a shipped disaggregated-memory platform. Its supplied comparison table retains thermal-tuning and laser-efficiency assumptions. Link energy and interface density do not measure complete memory-access latency, useful application bandwidth, controller cost or software utilization. The author's NVIDIA 2028-2029 and Broadcom/Marvell 2029-2031 timing is a forecast, not a product commitment. A clock-forwarded link removes some electronics; optical propagation, controller access and resource allocation still take time. CXL pooling is a separate protocol and controller architecture, not a synonym for an optical memory pool.

Performance Comparison

		This work	VLSI'22 [1]	VLSI'23 [9]	ISSCC'23 [3]
Process	EIC	7nm FinFET	45nm SOI CMOS	28nm CMOS	7nm CMOS
	PIC	65nm SOI SiPh		300mm SOI SiPh	45nm SOI SiPh
Integration		Hybrid	Monolithic	Hybrid	Hybrid
Architecture		FC	EC	EC	EC
Number of wavelengths		9	8	8	7
Per-λ Data rate <Gbps>		32	16	32	50
Per-Fiber Data rate <Gbps >		256	128	256	350
TX+RX Lane size <mm²>		0.013	-	~1	0.031 (RX only)
EIC shoreline density[a] <Tbps/mm>		**0.8**	~0.14	~0.064	-
EIC area density[b] <Tbps/mm² >		**1.33**	~0.064	~0.032	-
RX sensitivity OMA <dBm>		<**-16.0**[c]	-	-10	-10.1 to -11.4
BER		<1E-11	<6.9E-12	<1E-12	<1E-12
Energy efficiency <pJ/b>	Laser	**0.76**[d]	-	-	-
	Thermal	**0.57**[e]|0.49[f]	<0.6	-	-
	TRX + Clock + TT circuits	**1.26**	4.9-5	3.8 (RX only)	0.96 (RX only)
	Total	**2.59**|2.51	-	-	-

[a] **Bi-directional, 1-PHY deep** (0.6mm). [b] Bi-directional. [c] Measured with one data lane and one FWDCLK ON, PRBS7 pattern. [d] Assuming **10%** fiber-coupled laser WPE. [e] Measured with the bench laser. [f] Estimated based on the measured heater efficiency, covering 3σ of ring and laser variation.

© 2026 IEEE
nternational Solid-State Circuits Conference

Figure IA24-O. NVIDIA ISSCC 2026 comparison table reproduced in the owner-supplied May 31 article, body image 18. Research link metrics with original footnotes; not a qualified memory system or commercial unit-cost quotation.

Original table metric	Value / boundary	Model treatment
Data throughput per fiber	256 Gb/s	Link demonstrator; no company shipment assumption
EIC shoreline density	0.8 Tb/s/mm bidirectional	0.4 in one direction; do not compare to an unlike-direction figure

Original table metric	Value / boundary	Model treatment
Total energy	2.59 / 2.51 pJ/bit	Includes modeled laser/thermal terms; not whole-system memory energy
Laser efficiency assumption	10% fiber-coupled wall-plug efficiency	An assumption underlying the energy calculation
Receiver sensitivity condition	One data lane plus one clock lane; PRBS7	Does not establish every-lane, every-workload memory performance

Architecture ledger. The subjective probability of at least one material optical-attached DRAM program by end-2029 is **25%**. The link result and credible engineering path justify nonzero weight; a qualified memory platform's cohort and economics remain distinct. The conditional bridge is displaced HBM sales, plus recaptured LPDDR/other DRAM sales, less avoided HBM wafer/stacking cost, plus replacement DRAM/interface cost and incremental R&D/qualification expense. A bounded proxy was attempted by exposing 0-100% of the company's HBM pool; that range cannot be narrowed to an identifiable accelerator cohort, attachment rate or deployment schedule, and the replacement revenue/cost ratio can change even the sign of the earnings effect. The broad envelope overlaps heterogeneous-memory growth already in the reference model. **The incremental revenue and operating-profit contribution is zero in every current quarter for that specific non-identification and overlap reason**, not because official confirmation is required. The earliest author timing can overlap 2028; this is not dismissed merely as outside the valuation window.

The separate subjective probability of the author's **90% peak-volume HBM decline by 2033-2036 is 20%**. Its conditional endpoint is 10% of a future HBM peak, whose volume unit is not defined by the source. It is outside the forecast ending in 2030 and adds **zero** to the current earnings path. It is the same substitution mechanism as the 25% program hypothesis, so the two probabilities are not multiplied or applied as independent haircuts. This is a watch hypothesis, not a terminal-value or multiple adjustment.

Raise the program weight toward 40% when a named architecture provides a defensible affected cohort and comparable memory latency, delivered bandwidth, utilization and total cost; reduce it toward 10% after missed design/qualification milestones. Credible supplier/channel evidence can support that bridge before official commercialization. Revisit the distant 20% outcome only when multiple large architectures show net HBM substitution, including the HBM retained as cache. Mere link demonstrations and reposts do not independently increase either weight.

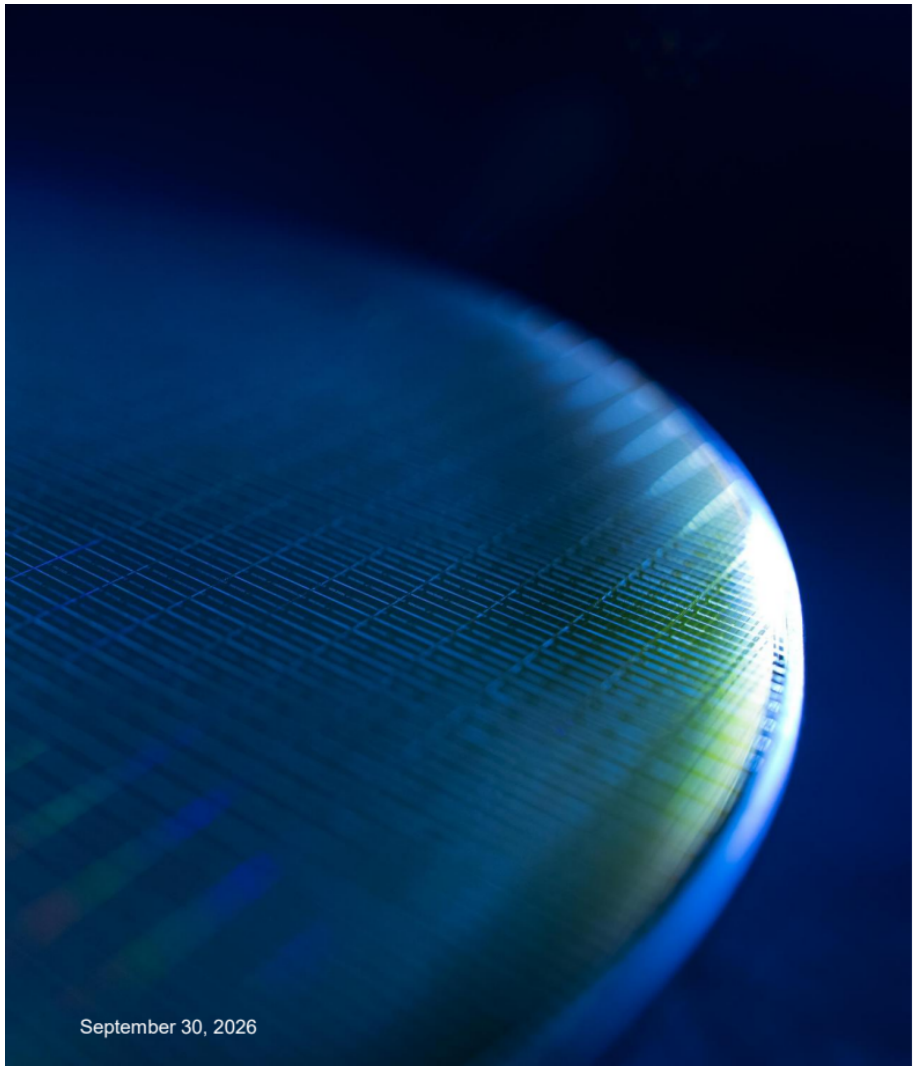
For Micron specifically, the attempted replacement bridge belongs inside CMBU and the relevant conventional-DRAM business units, rather than on top of total BU sales. Undisclosed HBM cohort revenue cannot be equated with all CMBU sales; conventional DRAM recapture cannot be added to a BU path that already contains it. Manufacturing costs, startup costs and R&D remain in the existing gross-profit-to-OP calculation. No new revenue, margin, share-count or 9× OP input is adopted from this article.

2. Earnings results and guidance anchors

The newest issuer release, earnings deck and all ten pages of prepared remarks were reviewed, together with the full call Q&A as reproduced by Investing.com. The third-party transcript has transcription errors in some units; issuer tables control financial numbers. For example, nearly $10 billion data-center SSD revenue is supported by prepared remarks; a transcript rendering of $10 million is not used. No analyst question about $100 B cash returns is treated as management guidance.

USD billions unless stated	FQ4 FY2026 actual	FQ1 FY2027 guidance
Period	14 weeks ended Sep 3, 2026	13-week next fiscal quarter

USD billions unless stated	FQ4 FY2026 actual	FQ1 FY2027 guidance
Revenue	54.229	61.5 +/-1.5
Non-GAAP gross profit	47.204	53.04375 at midpoint (derived)
Non-GAAP gross margin	87.05%	Approximately 86.25%
Non-GAAP opex	2.568	Approximately 2.06
Non-GAAP operating profit	44.636	50.98375 at midpoint (derived)
Non-GAAP net income / EPS	38.398 / $33.42	$38.15 +/-1.00 EPS
Diluted shares, millions	1,149	Approximately 1,150
Operating cash flow	43.973	No numeric guide
Net capex	10.774	Approximately 11.5
Adjusted free cash flow	33.199	Management expects above FQ4; no exact amount



FQ1-27 Guidance
Non-GAAP

Revenue	$61.5 billion ± $1.5 billion
Gross margin	Approximately 86.25%
Operating expenses	Approximately $2.06 billion
Diluted earnings per share*	$38.15 ± $1.00

*Based on ~1.15 billion diluted shares.
See non-GAAP reconciliations in Appendix.

micron | 29

Issuer earnings deck, September 30, 2026, page29: FQ1 FY2027 non-GAAP guidance. The model uses the midpoint and includes its cost burden.

Guidance is the near-term control. Micron expects sequential revenue growth in every fiscal 2027 quarter and expects FQ1 to be the gross-margin floor. It expects higher margins after FQ1 with a more moderate pace of price increases. Q4 incentive compensation is largely absorbed into inventory and flows into FQ1 cost of goods sold. Higher FY2027 compensation replaces some of that burden from FQ2; startup costs also matter. In Q&A, management discussed roughly $1 B of additional costs associated with compensation, startup and other items. The model does not add back that entire amount as a one-off, nor deduct it again from a guide that already incorporates it.

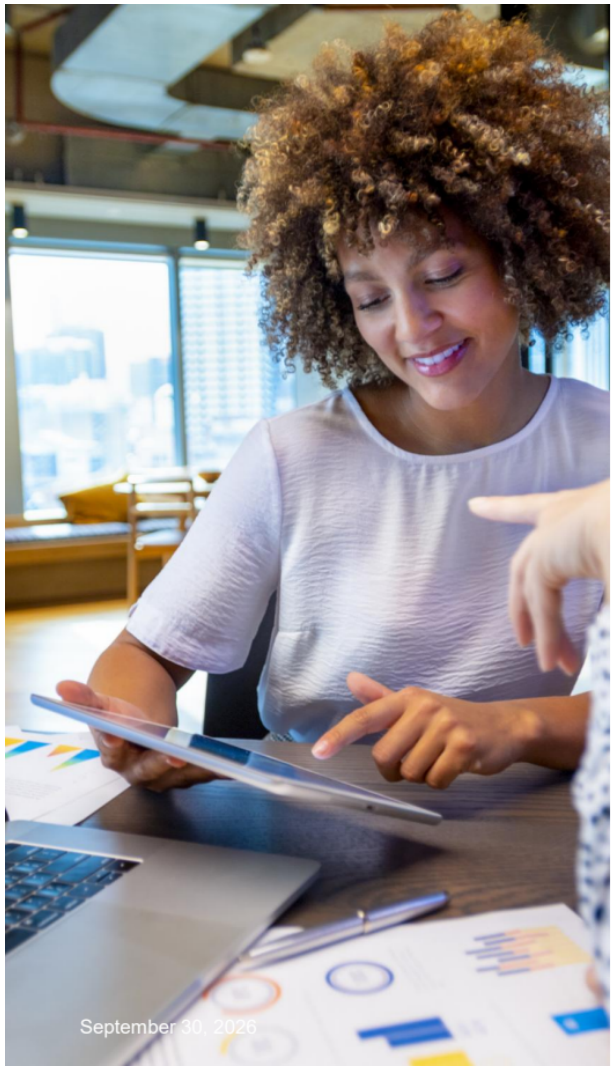
FY2026 non-GAAP opex was $6.841 B, derived from $108.032 B gross profit less $101.191 B operating profit. Management projects an approximately $2.5 B annual increase in FY2027, implying approximately $9.341 B. The quarterly model allocates $2.060 B, $2.280 B, $2.430 B and $2.571 B. Only the first quarter and annual increase are management guidance; the remaining quarterly allocation is an assumption. Later opex follows the retained percentage-leverage shape, calibrated to FQ4 FY2027. Net capex guidance is approximately $25 B in H1 FY2027 and higher in H2, implying more than $50 B annually without providing an exact full-year forecast. Capex is not subtracted dollar-for-dollar from the sanctioned operating-profit valuation; depreciation/startup economics remain in gross margins.

FQ4 had an extra week. The next-quarter revenue midpoint grows 13.41% on a reported-quarter basis and approximately 22.13% on a revenue-per-week basis (61.5/13 divided by 54.229/14 minus 1). The weekly calculation is a timing comparison, not a new growth assumption applied to subsequent quarters.

FQ4 disclosed business unit	Revenue $B	Rounded GM	Revenue role
CMBU	16.283	83.00%	Cloud/HBM
CDBU	18.002	90.00%	Core data center
MCBU	13.114	90.00%	Mobile/client
AEBU	6.824	84.00%	Auto/embedded

Business-unit sales sum to 54.223 B; the 0.006 B reconciliation is outside their sum. Rounded unit margins cannot reproduce exact group gross profit. The actual model row uses exact consolidated revenue and gross profit rather than fabricating precise segment margins. Technology revenue is DRAM39.771 B, NAND14.102 B and other 0.356 B. NAND bit shipments grew approximately 10% and ASP approximately 30%; DRAM bits grew mid-single digits and ASP high teens sequentially. These fiscal product/mix measurements are not equivalent to calendar-quarter contract-price surveys. Data-center SSD revenue was nearly 10 B and exceeded two-thirds of NAND revenue.

3. Contracts, liquidity and cash returns



Issuer earnings deck page11: SCA coverage, pricing and financial commitments. Coverage is expected revenue through2030, not current bit output.

Micron has signed 26 take-or-pay SCAs. It estimates they cover more than 35% of revenue through 2030. Three-quarters of that SCA revenue has defined pricing, a majority of which uses bands; the remaining quarter is priced periodically at market. New pricing discussions use higher prices based on prevailing conditions. Approximately $150 B RPO reflects committed volume at contract minimum prices for agreements with determined pricing, not incremental annual sales. Management still targets around 50% future revenue coverage, potentially less if the rest of the business grows faster.

The call's more-than 75% of 2027 output already committed includes SCA and non-SCA customers. It is neither 75% SCA revenue nor proof that all prices are fixed. Financial commitments total $32 B, mostly cash deposits; actual deposits on the balance sheet are $12.7 B, including $12.3 B received in FQ4. Deposits are financing inflows and are returnable later in the contracts subject to minimum purchases. They are excluded from operating/free cash flow and are not revenue.

Cash/investments/restricted cash total $73.480 B; debt is approximately $5.2 B and net cash approximately $68.3 B. Inventory is $10.4 B,129 days; management attributes the rise partly to end-of-life build-ahead and incentive costs capitalized into inventory, and expects days to decline. No FQ4 buybacks occurred. Capital returns are intended to increase from December 9,2026. Management expects to approach target cash by FQ1 end and seek more repurchase authorization beyond the current $2.2 B; it gave no exact new authorization or cash-return amount. Actual 1,149 M and next-quarter guided 1,150 M shares are used; the later inherited share-reduction schedule remains an assumption, not newly promised buybacks. The existing OP valuation does not separately add net cash, preserving the owner's method.

4. Explicit probability ledger and conflicting signals

Probabilities below are subjective analytical weights on specified economic outcomes, not the probability that a quotation exists. Positive and negative signals enter the operating calculation once. The ceiling has no second probability discount. The official actual and guidance anchor receive no overlay.

Signal	Probability and conditional economics	Active effect / overlap discipline
2027 HBM repricing	60% of an additional 2 pp CMBU gross-margin convergence; half in Q1 2027, full to 2028, half 2029, zero 2030.	GP increment; no additional HBM revenue or industry TAM stacked onto BU sales. Magnitude is a bounded assumption inside an observed~7 pp unit margin gap.
Tighter 2028 supply	60% probability that BU margin declines from Q3 2027 reference are deferred in 2028; half benefit 2029, zero 2030.	Weighted GP benefit from reduced normalization; no permanent removal of cyclicality or multiple change.
NAND caps / customer budgets	25% probability that 54% of modeled NAND exposure cannot capture the calendar Q1+15% increment.	Subtracts revenue and GP at unchanged production cost.54% is an industry-proxy conditional exposure, not MU-disclosed coverage.
DRAM budget / HBM negotiation pressure	25% probability of 10% shortfall in the non-NAND portion of post-guide CMBU+CDBU revenue growth to 2028; half effect 2029, zero 2030.	Uses (1 minus NAND share) to avoid overlap with the NAND risk branch. Subtracts revenue and GP as price/mix shortfall. Does not cut the guided quarter or imply 100% HBM repricing.
SCA objective~50% revenue coverage	60% prospect of achieving management objective; no independent incremental sales.	Durability already supports score; revenue is already in BU totals.35%+ revenue is not analyst 35%+bits.
Persistent-agent additional storage	25% residual-demand hypothesis, net adopted increment 0.	The proposed missing category overlaps Sandisk TAM and Micron KV/SSD positioning; no double-counted 550 EB addition.

The owner's P Equity Research excerpt is an attributed expert/channel-check summary, not a Micron contract disclosure. It reports weaker-than-expected Q3 DRAM contract increases, possible Nvidia HBM4 negotiation friction, a NAND price ceiling near $0.40/GB and roughly 54% industry capacity locked. The product, customer, geography, grade and contract definitions are not supplied. Consequently $0.40/GB is not imposed across all Micron NAND, and the alleged near 100% HBM demand is not imported as a Micron price forecast. Instead, bounded downside weights operate on the relevant forecast increments.

Micron's statement that the vast majority of 2027 HBM supply is already agreed at significantly higher prices reduces the read-through from a generic stalled-negotiation headline. It does not establish identical contracts for every vendor/customer. Samsung's alleged 70% server-DRAM commitments cannot be substituted for Micron's coverage. Its industry supply implications overlap the existing tightness branch; a separate volume bonus would double count. LTAs can improve visibility while preserving pricing caps, customer risk and industry cyclicality.

Revision triggers: raise HBM-convergence weight toward 75% if reported CMBU profitability improves with the repriced mix; lower toward 30% if conversion fails. Raise tightness weight toward 75% with sustained customer commitments and delayed productive capacity; reduce toward 30% if realized ASP/cost normalization overtakes demand. Increase NAND/DRAM downside weights toward 50% upon Micron-specific evidence of capped realization or budget concessions; lower toward 10% if realized post-guide prices continue above the modeled path. Changes in these controls recalculate profit and ceilings; they are not decorative sensitivities.

Quarter	HBM GP +$B	Tightness GP +$B	NAND rev/GP -$B	DRAM rev/GP -$B
Q3 2026	0.000	0.000	0.000	0.000
Q4 2026	0.000	0.000	0.000	0.000
Q1 2027	0.134	0.000	-0.249	-0.083
Q2 2027	0.297	0.000	-0.398	-0.153
Q3 2027	0.321	0.000	-0.424	-0.226
Q4 2027	0.344	0.000	-0.445	-0.288
Q1 2028	0.362	0.713	-0.457	-0.327
Q2 2028	0.380	1.392	-0.469	-0.367
Q3 2028	0.392	2.254	-0.478	-0.398
Q4 2028	0.404	3.300	-0.487	-0.428
Q1 2029	0.208	2.243	-0.496	-0.229
Q2 2029	0.214	2.834	-0.502	-0.239
Q3 2029	0.220	3.446	-0.511	-0.254
Q4 2029	0.226	3.978	-0.517	-0.263
Q1 2030	0.000	0.000	-0.523	-0.000
Q2 2030	0.000	0.000	-0.526	-0.000
Q3 2030	0.000	0.000	-0.529	-0.000
Q4 2030	0.000	0.000	-0.535	-0.000

5. Analytical score

The earnings rescore retains 54/60=90. Stronger contracted demand and record guidance support the existing elite rating; unusually high current margins, caps, cost growth and capacity execution still prevent a perfect score. The portfolio Base is 90 and agrees with this analytical score. Current rankings use the portfolio Base without another score multiplier in operating profit or valuation.

Category	Points	Max	Current rationale
Core thesis	19	20	Scaled memory manufacturing, leading nodes, HBM qualification and end-to-end SSD capability; competitors still matter.
Cycle stage	9	10	Tighter 2027-28 outlook, but already extreme pricing and profitability.
TAM expansion	10	10	AI working memory, context storage, physical AI and edge memory content.
Catalysts	5	5	2027 HBM repricing, early 2027 packaging, mid 2027 capacity and H2 node transitions.
Macro	10	10	AI infrastructure and memory intensity; content optimization is a counterweight.
Alpha	5	5	Cross-product memory hierarchy and multi-year commitments support the existing scored thesis; no duplicate earnings bonus.
Risks	-4	0	Customer/geopolitics; capacity execution; price/cost normalization; forward allocation/share uncertainty.
Total	54	60	Rounded analytical 90; current Excel Base 90.

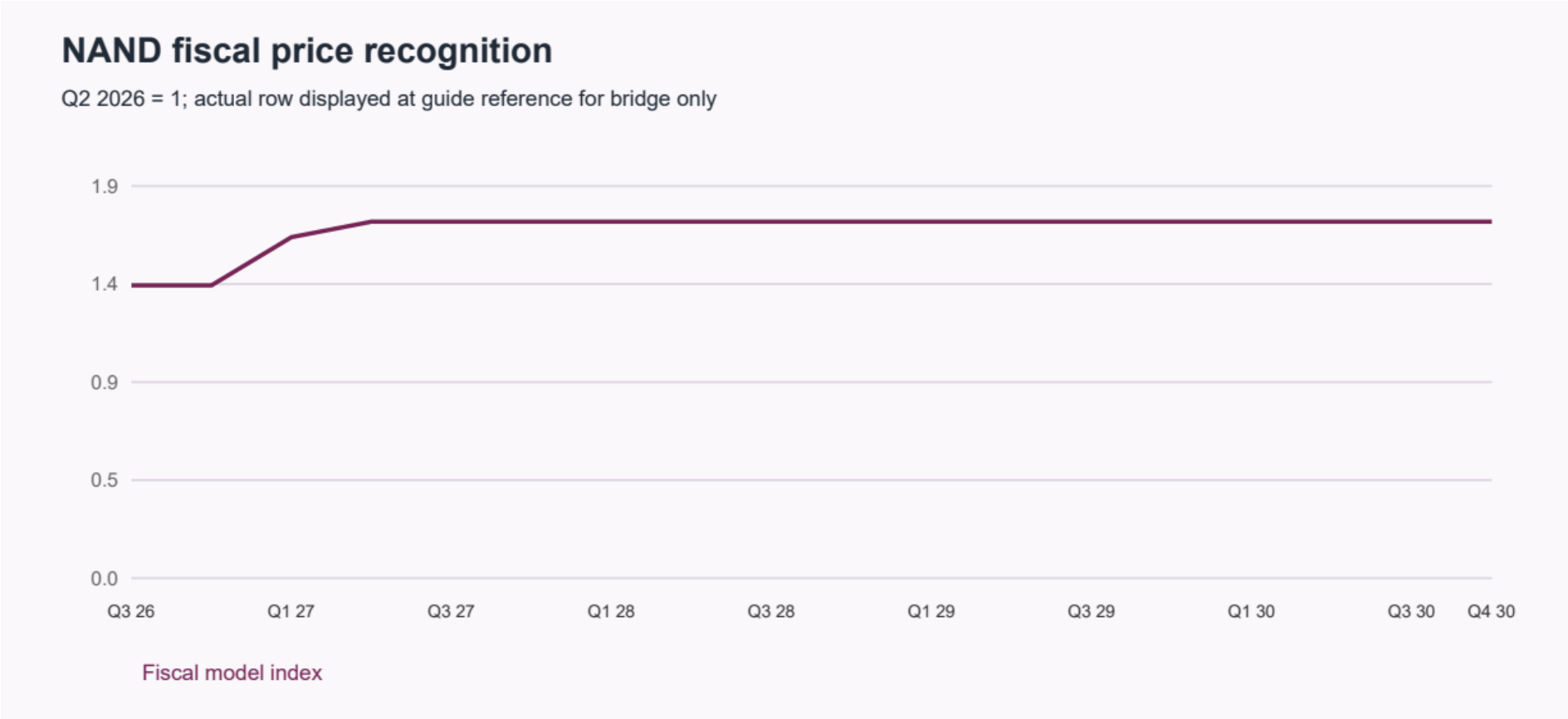
6. Forward model construction and NAND driver

The model retains four decomposed business-unit revenue and gross-margin vectors. FQ1 BU allocation is a proxy: FQ4 actual BU sales multiplied by each retained BU growth factor into FQ1, then normalized to the 61.5 B guidance midpoint. Subsequent BU reference sales equal this guidance allocation times the retained relative BU growth trajectory. This incorporates the latest mix and guide without applying the already-realized price increases again. These vectors combine units, mix and baseline pricing; they are not pure bit-volume forecasts. No new assumption of Micron growing at the entire industry's bit rate is added.

FQ1 segment-margin assumptions start at 82.5%/89.2%/89.2%/83.2%, then receive a common calibration adjustment so their weighted blend exactly equals 86.25%. Subsequent reference margins retain the existing relative BU normalization shape. Weighted HBM convergence and 2028 tightness benefits are separately visible. Their magnitude is an analytical assumption, not segment guidance. Gross profit is decomposed reference BU profit plus NAND pricing, minus price-risk decrements, plus the two weighted margin benefits. Production costs are unchanged for price-only changes; opex follows the explicit annual guidance bridge and later leverage ratios.

The owner-selected calendar NAND benchmark remains+23% in Q3 2026,+20% in Q4 and+15% in Q1 2027. With Q2 2026=1, the levels are 1.2300,1.4760 and 1.6974. No additional 15% is repeated in later quarters. Because the latest guidance already includes September-November prices, incremental NAND pricing now starts from its fiscal weighted index 1.3940. FQ2 December-February index is 1.6236, then 1.6974. Only the gain beyond 1.394 is added to guide-calibrated NAND exposure. Exposure is anchored to 14.102/54.229=26.0045% of revenue, held fixed as a disclosed-actual-calibrated modeling proxy. Fiscal weeks are not exact calendar months.

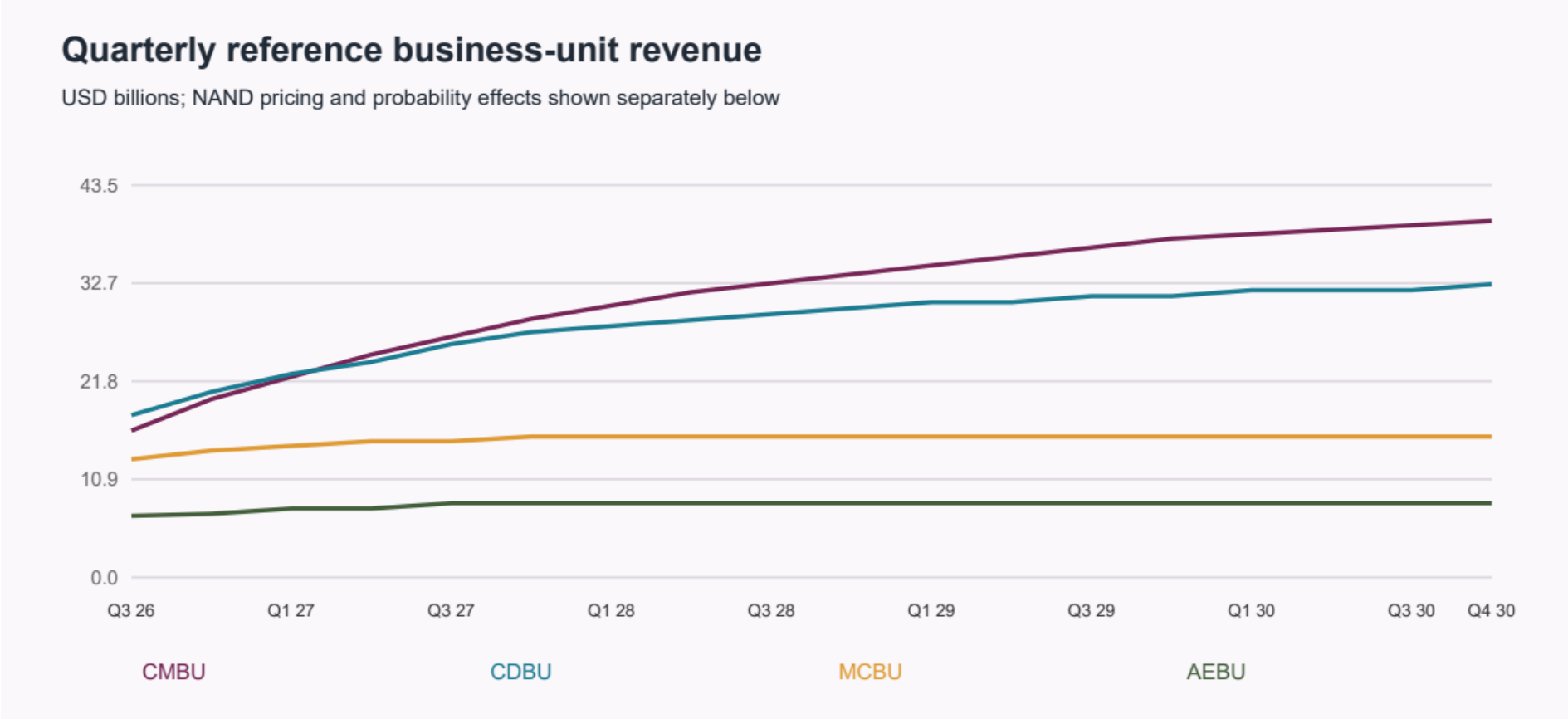
Full NAND price increment = reference BU sales x 26.0045% x(active fiscal index/1.394-1). The cap branch removes 25% x 54% of the incremental price level above 1.476, preserving the selected 15% benchmark while modeling imperfect realization. All post-2027 price levels are held flat before the separately modeled normalization/risk effects; this is a scenario assumption. No industry-wide cap is asserted as fact.



NAND fiscal price recognition. Model assumptions; exact numbers follow in the table.

Calendar period	QoQ assumption	Index level	Recognition
Q3 2026	23%	1.2300	Past benchmark, actual anchor controls
Q4 2026	20%	1.4760	FQ1 guide already incorporates pricing
Q1 2027	15%	1.6974	FQ2 weighted 1.6236
Q2 2027 onward	0% additional	1.6974	Held level; probability risk deducted separately

7. Quarterly business-unit and consolidated path



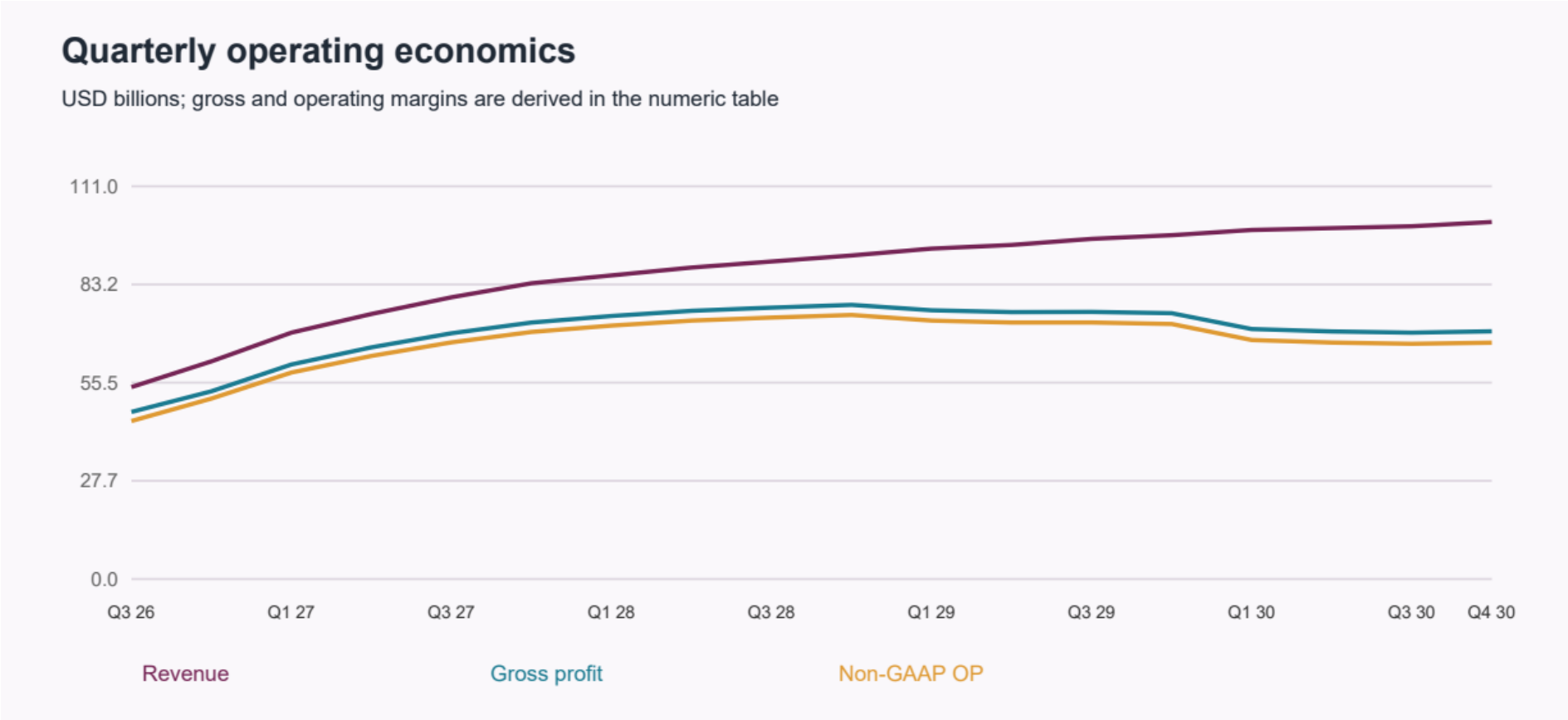
Quarterly reference business-unit revenue. Model assumptions; exact numbers follow in the table.

Quarter / status	CMBU $B	CDBU $B	MCBU $B	AEBU $B	Active group $B
Q3 2026 Actual	16.283	18.002	13.114	6.824	54.229
Q4 2026 Guidance anchor	19.791	20.590	14.069	7.050	61.500
Q1 2027 Model	22.264	22.583	14.590	7.637	69.616
Q2 2027 Model	24.738	23.912	15.111	7.637	74.888

Quarter / status	CMBU $B	CDBU $B	MCBU $B	AEBU $B	Active group $B
Q3 2027 Model	26.717	25.904	15.111	8.225	79.607
Q4 2027 Model	28.696	27.233	15.632	8.225	83.569
Q1 2028 Model	30.181	27.897	15.632	8.225	85.788
Q2 2028 Model	31.665	28.561	15.632	8.225	88.006
Q3 2028 Model	32.654	29.225	15.632	8.225	89.714
Q4 2028 Model	33.644	29.889	15.632	8.225	91.421
Q1 2029 Model	34.633	30.554	15.632	8.225	93.358
Q2 2029 Model	35.623	30.554	15.632	8.225	94.389
Q3 2029 Model	36.612	31.218	15.632	8.225	96.112
Q4 2029 Model	37.602	31.218	15.632	8.225	97.143
Q1 2030 Model	38.097	31.882	15.632	8.225	98.624
Q2 2030 Model	38.592	31.882	15.632	8.225	99.144
Q3 2030 Model	39.086	31.882	15.632	8.225	99.664
Q4 2030 Model	39.581	32.546	15.632	8.225	100.882

Quarter	CMBU ref GM	CDBU ref GM	MCBU ref GM	AEBU ref GM
Q3 2026	83.00%	90.00%	90.00%	84.00%
Q4 2026	82.39%	89.09%	89.09%	83.09%
Q1 2027	82.69%	89.29%	89.09%	83.39%
Q2 2027	82.89%	89.29%	88.89%	83.59%
Q3 2027	82.89%	89.19%	88.29%	83.59%
Q4 2027	82.59%	88.79%	87.09%	83.19%
Q1 2028	81.89%	87.99%	85.39%	82.39%
Q2 2028	80.89%	86.79%	83.09%	81.29%
Q3 2028	79.59%	85.29%	80.39%	79.89%

Quarter	CMBU ref GM	CDBU ref GM	MCBU ref GM	AEBU ref GM
Q4 2028	77.99%	83.49%	77.39%	78.19%
Q1 2029	76.19%	81.49%	74.19%	76.29%
Q2 2029	74.39%	79.49%	71.09%	74.29%
Q3 2029	72.59%	77.49%	68.19%	72.39%
Q4 2029	70.99%	75.79%	65.69%	70.59%
Q1 2030	69.59%	74.39%	63.49%	69.09%
Q2 2030	68.59%	73.49%	61.69%	67.89%
Q3 2030	67.89%	73.09%	60.29%	66.89%
Q4 2030	67.39%	72.79%	59.39%	66.09%



Quarterly operating economics. Model assumptions; exact numbers follow in the table.

Quarter	Revenue $B	GP $B	GM	Opex $B	NG OP $B	OP margin
Q3 2026	54.229	47.204	87.05%	2.568	44.636	82.31%
Q4 2026	61.500	53.044	86.25%	2.060	50.984	82.90%
Q1 2027	69.616	60.619	87.08%	2.280	58.339	83.80%
Q2 2027	74.888	65.462	87.41%	2.430	63.032	84.17%
Q3 2027	79.607	69.439	87.23%	2.571	66.868	84.00%
Q4 2027	83.569	72.467	86.72%	2.663	69.804	83.53%
Q1 2028	85.788	74.318	86.63%	2.715	71.603	83.46%

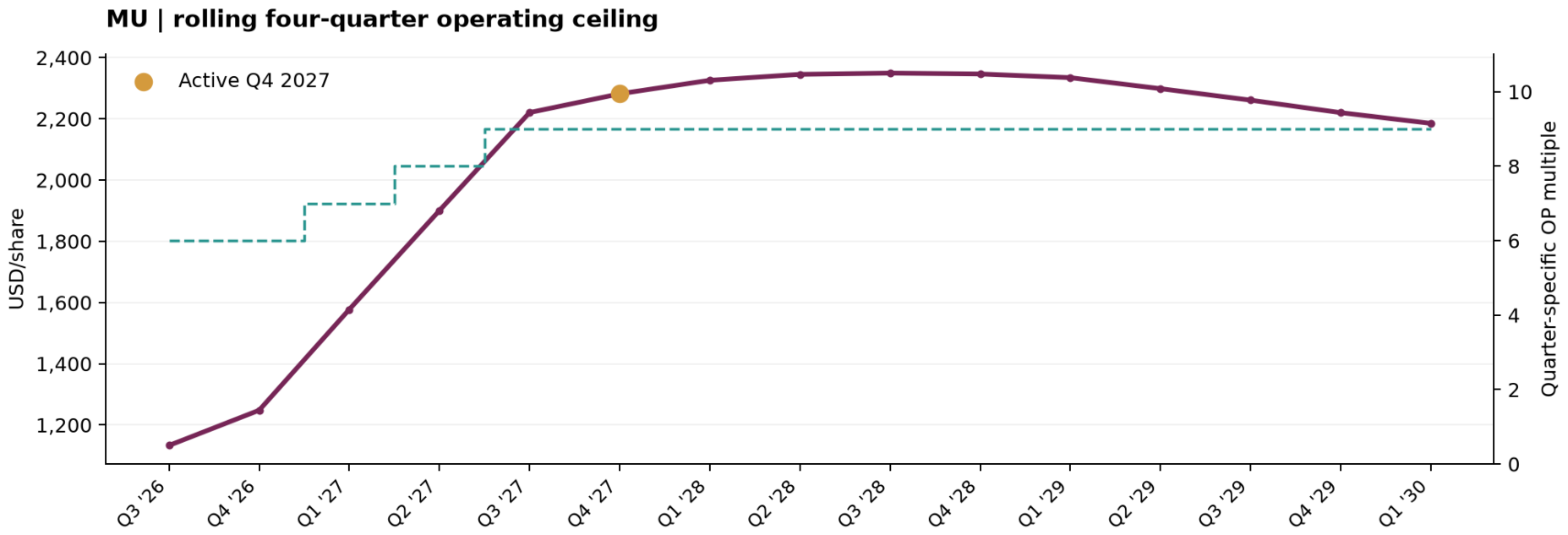
Quarter	Revenue $B	GP $B	GM	Opex $B	NG OP $B	OP margin
Q2 2028	88.006	75.775	86.10%	2.766	73.009	82.96%
Q3 2028	89.714	76.679	85.47%	2.810	73.869	82.34%
Q4 2028	91.421	77.460	84.73%	2.854	74.606	81.61%
Q1 2029	93.358	75.926	81.33%	2.915	73.011	78.21%
Q2 2029	94.389	75.416	79.90%	2.947	72.469	76.78%
Q3 2029	96.112	75.475	78.53%	3.001	72.474	75.41%
Q4 2029	97.143	75.101	77.31%	3.043	72.058	74.18%
Q1 2030	98.624	70.627	71.61%	3.100	67.527	68.47%
Q2 2030	99.144	69.944	70.55%	3.127	66.817	67.39%
Q3 2030	99.664	69.606	69.84%	3.154	66.452	66.68%
Q4 2030	100.882	69.985	69.37%	3.204	66.781	66.20%

Model calendar label	Revenue $B	NG OP $B	Aggregation
2027	307.680	258.044	Four fiscal proxies, not Micron fiscal year
2028	354.928	293.086	Four fiscal proxies, not Micron fiscal year
2029	381.001	290.013	Four fiscal proxies, not Micron fiscal year
2030	398.313	267.577	Four fiscal proxies, not Micron fiscal year

Long-range company output is a conditional proxy, not a sourced global TAM share calculation. Industry 2027/2028 bit expectations are low 20 s DRAM and mid 20 s NAND, while Micron says its 2026 NAND supply grows below industry. The modeled curve requires continued successful qualification, capacity ramp and price capture. New fabs alone cannot establish it. The next 12-16 months deserve the greatest forecast weight; the outer years are materially less reliable.

8. Rolling forward-four-quarter ceiling

Active horizon: Q4 2027, USD2,281.94, using the existing Q4 row. The chart highlights the existing Q4 row; the original operating and share assumptions are unchanged.



MU current ceiling path and owner-approved gradual operating-profit re-rating, extended to Q3 2026. Gold marks active Q4 2027. Operating forecasts and share basis are unchanged.

Ceiling quarter	Exact model window	F4 Q NG OP $B	Multiple	Shares M	USD/share
Q3 2026	Q3 2026 to Q2 2027	216.991	6x	1,149.000	1,133.11
Q4 2026	Q4 2026 to Q3 2027	239.223	6x	1,150.000	1,248.12
Q1 2027	Q1 2027 to Q4 2027	258.044	7x	1,145.000	1,577.56
Q2 2027	Q2 2027 to Q1 2028	271.307	8x	1,142.000	1,900.58
Q3 2027	Q3 2027 to Q2 2028	281.284	9x	1,140.000	2,220.66
Q4 2027	Q4 2027 to Q3 2028	288.285	9x	1,137.000	2,281.94
Q1 2028	Q1 2028 to Q4 2028	293.086	9x	1,134.000	2,326.08
Q2 2028	Q2 2028 to Q1 2029	294.495	9x	1,130.000	2,345.54
Q3 2028	Q3 2028 to Q2 2029	293.956	9x	1,126.000	2,349.56
Q4 2028	Q4 2028 to Q3 2029	292.561	9x	1,122.000	2,346.75

Ceiling quarter	Exact model window	F4 Q NG OP $B	Multiple	Shares M	USD/share
Q1 2029	Q1 2029 to Q4 2029	290.013	9x	1,118.000	2,334.63
Q2 2029	Q2 2029 to Q1 2030	284.529	9x	1,114.000	2,298.71
Q3 2029	Q3 2029 to Q2 2030	278.876	9x	1,110.000	2,261.16
Q4 2029	Q4 2029 to Q3 2030	272.854	9x	1,106.000	2,220.33
Q1 2030	Q1 2030 to Q4 2030	267.577	9x	1,102.000	2,185.30

Every window uses the named quarter plus the next three fiscal proxies. Unit conversion is 1,000 because profit is in billions and shares in millions. Probability is already reflected in operating inputs.

- Q3 2026: (44.636000 + 50.983750 + 58.339142 + 63.032095) x 6 x 1,000 /1,149 = USD1,133.11
- Q4 2026: (50.983750 + 58.339142 + 63.032095 + 66.868329) x 6 x 1,000 /1,150 = USD1,248.12
- Q1 2027: (58.339142 + 63.032095 + 66.868329 + 69.804194) x 7 x 1,000 /1,145 = USD1,577.56
- Q2 2027: (63.032095 + 66.868329 + 69.804194 + 71.602546) x 8 x 1,000 /1,142 = USD1,900.58
- Q3 2027: (66.868329 + 69.804194 + 71.602546 + 73.008903) x 9 x 1,000 /1,140 = USD2,220.66
- Q4 2027: (69.804194 + 71.602546 + 73.008903 + 73.868899) x 9 x 1,000 /1,137 = USD2,281.94
- Q1 2028: (71.602546 + 73.008903 + 73.868899 + 74.606133) x 9 x 1,000 /1,134 = USD2,326.08
- Q2 2028: (73.008903 + 73.868899 + 74.606133 + 73.011427) x 9 x 1,000 /1,130 = USD2,345.54
- Q3 2028: (73.868899 + 74.606133 + 73.011427 + 72.469394) x 9 x 1,000 /1,126 = USD2,349.56
- Q4 2028: (74.606133 + 73.011427 + 72.469394 + 72.474245) x 9 x 1,000 /1,122 = USD2,346.75
- Q1 2029: (73.011427 + 72.469394 + 72.474245 + 72.057954) x 9 x 1,000 /1,118 = USD2,334.63
- Q2 2029: (72.469394 + 72.474245 + 72.057954 + 67.527202) x 9 x 1,000 /1,114 = USD2,298.71
- Q3 2029: (72.474245 + 72.057954 + 67.527202 + 66.816817) x 9 x 1,000 /1,110 = USD2,261.16
- Q4 2029: (72.057954 + 67.527202 + 66.816817 + 66.452073) x 9 x 1,000 /1,106 = USD2,220.33
- Q1 2030: (67.527202 + 66.816817 + 66.452073 + 66.781168) x 9 x 1,000 /1,102 = USD2,185.30

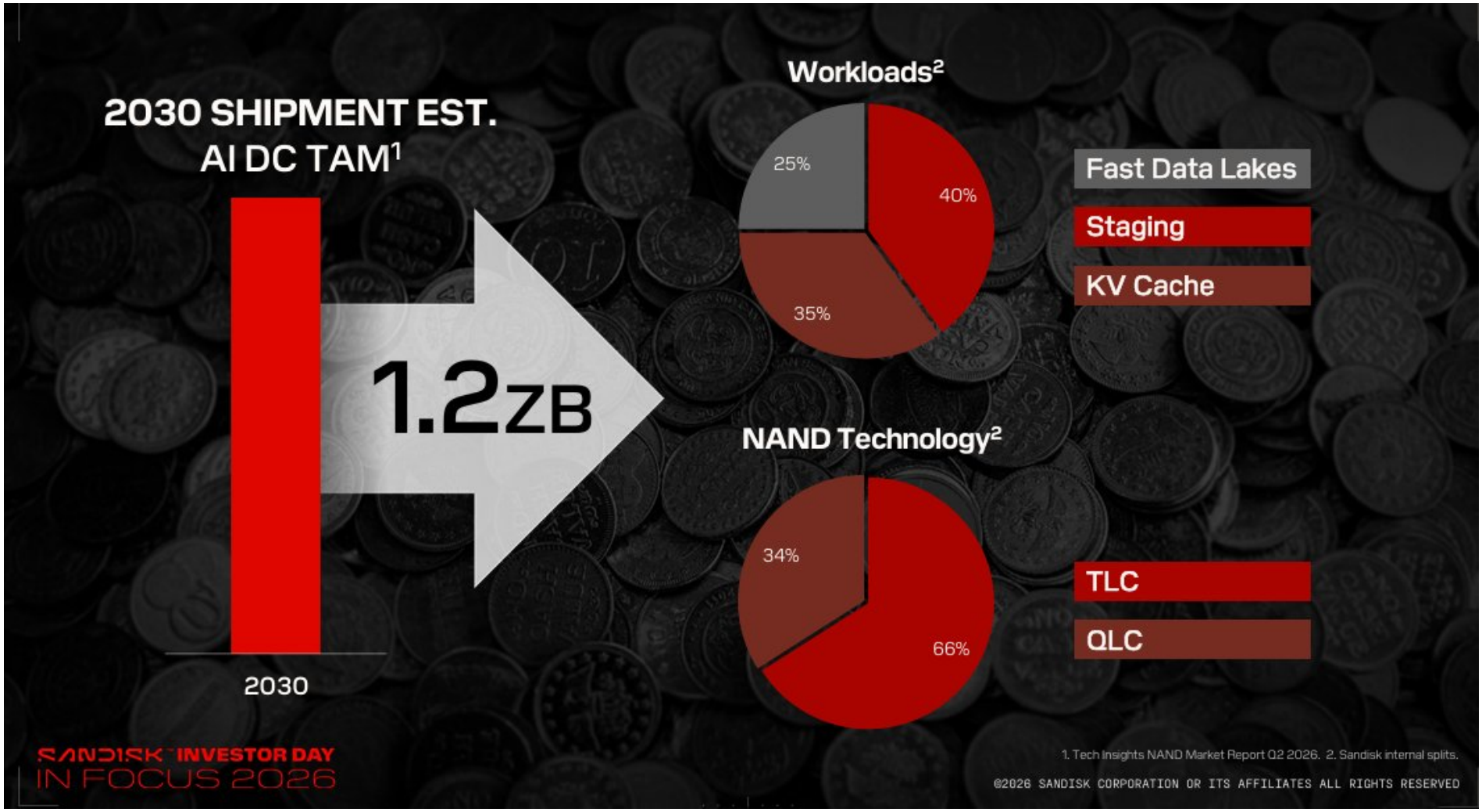
Q3 2027 share sensitivity	Shares M	Ceiling USD
10% fewer shares	1,026	2,467.40
Active schedule	1,140	2,220.66
10% more shares	1,254	2,018.78

Sensitivity holds profit constant. A larger future repurchase program has not been assumed from management or analyst cash-return speculation. No debt/cash adjustment has been introduced into the sanctioned 9 x OP formula.

9. TAM expansion, source images and portfolio relationships

The memory hierarchy spans HBM/DRAM working state, SSD persistence and HDD archive. Micron's growing SSD portfolio links the thesis to KV-cache offload and HDD displacement. Phase 1 AI datacenter deployment is already material. Phase 2 physical AI receives 50% framework confidence: management describes level 4+ vehicle memory exceeding 200 GB and multiterabyte storage, with humanoids potentially comparable. Those configuration examples do not establish unit adoption or incremental company revenue. They remain embedded in the AEBU growth proxy, not an additional robotics TAM layer. Phase 3 ubiquitous computing receives 20% framework confidence without a separate numerical sales increment.

Sandisk's supplied 2030 AI-datacenter annual NAND shipment estimate is 1.2 ZB: staging 40%, KV cache 35%, fast data lakes 25%. TLC66%/QLC34% is a separate breakdown of the same pool. Agent retention, logs and checkpoints require conversion from installed state to annual NAND shipments, allowing for compression, replication, replacements, utilization and endurance. The suggested 500-600 EB omitted-agent opportunity is not added because these workloads already overlap the source categories and Micron's explicit context-storage thesis.



User-supplied Sandisk 2030 annual NAND shipment exhibit. Used for workload scope and non-additivity, not as Micron revenue guidance.

The supplied Micron analyst excerpt below concerns inferred bit coverage and margin durability. The active model uses the new issuer revenue-coverage and commitment disclosures in section 3. It does not reinterpret the excerpt's bit estimates as confirmed, nor treat a prior-cycle margin floor as an additional profit layer beneath an already much higher modeled margin. The exhibit is retained as source evidence, not an active competing coverage forecast.

- **SCA coverage likely stepping to 35%+ (with potential for 50%+); capital return framework post 12/9/26 also in focus as additional value-unlock lever.** MU's May-Q disclosure of 16 SCAs (~20% of DRAM volume, ~33% of NAND volume; $100B RPO at floor pricing across 14 of the 16; $22B of cash and cash-like commitments including $18B of cash deposits, of which ~$10B expected to hit the balance sheet in F4Q alone) represented in our view a step-change in MU's business model. Since then, mgmt's recent commentary that "since our earnings, we have signed more SCAs" points to continued momentum, and our base case is that SCA coverage of bit production now likely sits in the 35%+ range across DRAM and NAND (up from the ~20% DRAM/~33% NAND volume disclosed on the last call) with strong potential that coverage has already progressed to the 50%+ range. We expect the print (and the associated RPO disclosure in the 10-K) to provide meaningful incremental clarity on the pace of SCA signings, cumulative RPO under contract, and the associated cash deposit build. Importantly, at the floor pricing embedded in these agreements, gross margins are set to remain "well above peak margins in any past cycle" (~62% GM prior peak), effectively establishing what we view as a materially higher and more durable margin floor than at any prior point in MU's history, and one that in our view is not fully captured in the stock given the historically cyclical framing investors have applied to memory. On capital returns, the 12/9/26 second anniversary of MU's CHIPS Act definitive agreements represents a pivot-point - post that date, MU has committed to returning 100% of excess cash to shareholders "over time" (buybacks the primary vehicle, with continued modest dividend growth as a secondary

2

User-supplied analyst bit-coverage hypothesis. Scope differs from current issuer revenue coverage; no additional sales or confirmed bit coverage are inferred.

Samsung and SK hynix share broad DRAM/HBM/NAND exposure but have different mix, qualifications, contracts and sanctioned valuation multiples. SNDK/Kioxia have more concentrated NAND exposure; SKHY is a wrapper on SK hynix issuer economics. Equipment beneficiaries depend on actual tool orders and productivity spending. Controllers, OEMs and downstream products may face higher memory input costs. No other portfolio model changes are made in this MU rescore.

10. Risks, counters and next review

Risk deduction	Specific counter	Review evidence
Customer/geopolitics -1	Concentration, export/geopolitical restrictions, customer allocation and budget changes.	Company-specific orders, product/customer mix and cancellation or concession terms.
Capacity execution -1	Node, packaging, yield and greenfield startup cost or timing slippage.	Singapore packaging early 2027; Tongluo/ID1 mid 2027; subsequent qualified sales.
Price/cost normalization -1	Price caps, stronger supply, incentive compensation, depreciation and mix offset scarcity.	FQ1 GM~86.25% and higher thereafter; actual ASP/bit trends; CMBU convergence.
Forward estimates/shares -1	Fixed NAND mix, inherited growth shapes and assumed buybacks may fail.	Technology mix, guidance revisions, cash balances net of refundable deposits and diluted shares.

The decisive near-term test is delivery against FQ1 guidance and the fiscal 2027 gross-margin floor. Revisit the 9.341 B opex bridge if management changes the annual cost outlook. Model sensitivity should not be confused with a confirmed forecast. The precise scope of the user's industry $0.40/GB and 54% assertions remains unresolved; the downside model explicitly labels its proxy exposure. HBM4 pricing magnitude is undisclosed, and no 100% Micron price increase is assumed. Complete SCA terms, detailed customer allocations and product-level bit/ASP forecasts through 2030 remain gaps. These gaps constrain confidence but do not prevent the bounded probability-weighted increments documented above.

11. Source register and calculation controls

- **MU-Q4-R:** September 30,2026 issuer results, Micron release, also downloaded from its GlobeNewswire distribution. Consolidated actuals, GAAP/non-GAAP distinction and guidance.
- **MU-Q4-D:** Issuer earnings deck, September 30,2026. Pages 23-24,27-30,32-37: product/BU actuals, guide, opex and share controls. Exhibits embedded beside their use.
- **MU-Q4-P:** Issuer prepared remarks, September 30,2026, pages 1-10. Supply, SCA pricing, HBM, roadmap, margins, incentive costs and capex.
- **MU-Q4-Q:** Full earnings call transcript, Investing.com reproduction, September 30,2026. Full Q&A reviewed in browser. Management answers control, not analyst hypotheticals; transcription units reconciled against issuer materials. A separate post-earnings analyst webcast is not represented as reviewed.
- **PE-1:** P Equity Research expert takeaways, user-supplied September 30. Attributed channel checks with unresolved original expert/product scope; explicit downside proxies in section 4.
- **TF/JF:** Owner-supplied TrendForce upper-range Q3/Q4 NAND revisions and Jeff Pu/Jukan Q1 2027+15% summary, incorporated September 20-21. Exact original revised tables not retrieved; the sanctioned combined benchmark remains 23%/20%/15%.

- **SNDK-TAM:** Sandisk issuer investor-day deck. User image shows 1.2 ZB annual 2030 AI-datacenter shipment estimate and workload split; overlaps agentic/context demand.
- **MODEL:** Framework 8.0 and current MU_Q_Model immediately before the earnings refresh. Existing 9 x OP, fiscal-quarter proxies, BU growth/normalization shapes and later share schedule are retained conventions/assumptions. The earnings anchors and probability-weighted operating inputs are updated as described.

The saved model uses 18 operating quarters and 15 complete four-quarter valuation windows. The actual revenue/GP/OP, official guidance midpoint, fiscal 2027 opex sum, analytical 54/60 and current Excel Base 90 are explicit controls. Main workbook outputs link to the same quarterly model. Ranking remains Base% x(ceiling/current price-1). Current market prices are handled in the portfolio workbook, not mixed into this price-independent thesis.

October 7 evidence sources

- **MU-LAB1** · October 7, 2026 · CNA original reporting: Taoyuan authorization. Vote counts and union scope; direct original page reviewed October 8, resolving the earlier indexed-text-only access limitation.
- **MU-LAB2** · October 7, 2026 · CNA follow-up reporting. October 19 day-off rally versus strike, company dialogue response and labor process. Direct original page reviewed October 8.
- **MU-LAB3** · October 7, 2026 · TrendForce comments reported by CNA. Taoyuan DRAM and maintenance/process/yield mechanism; an attributed industry assessment, not measured output loss. Direct original page reviewed October 8.
- **MU-LAB4** · October 7, 2026 · StatementDog post, QQ Timmy count detail and Jukan headline, retained in DOTX-20261007-0730 revision 1. These are overlapping reports of one event. Linked headline images were unavailable, and the purported Events in Focus original URL was not independently located; no missing image was treated as inspected evidence.

October 8 manufacturing and labor source additions

- **MU-DAM1** · Published October 7, 2026, 20:31 Toronto; interview September 30 Pacific / October 1 Taiwan · Damnang, Another Side of Micron, Seen from Its Taiwan Fabs. Complete owner-supplied saved HTML read. Unnamed Taichung process-integration engineer, former Samsung Foundry defect engineer; edited personal experience, not Micron guidance. One substantive body image inspected and embedded next to its process-window analysis; the source labels it conceptual, not microscopy. Saved article SHA256: d08a3961394dcac081b6956820229c54cebd4e48ba4cd92860b6e1f4adf7ddce. Image SHA256: 87327884f4d56f66315bc84148d5352536e389b8a217ed9b2a676d547b11a94d.
- **MU-DAM2** · October 7, 2026 · CNA English original reporting, reviewed October 8. Same Taoyuan authorization as MU-LAB1-3, not an independent event. The direct original Chinese CNA pages listed above were also successfully reviewed on October 8.
- **MU-DAM3** · Issuer manufacturing context, reviewed October 8 · Micron locations and Taiwan advanced packaging/test facility description. Corroborates separate site operations and integrated production/test capabilities. The historical facility article is not current qualified-capacity or yield guidance.
- **MU-DAM4** · October 8, 2026 · TrendForce News summary. Curated news, explicitly separate from TrendForce's research team, repeating the same dispute and mediation dates. Not a new independent production-loss estimate or settlement.